(c) shocks from global food inflation, as India integrates with the world.

A more nuanced view is possible on each factor.

Protein inflation: rising prices of pulses, fish, meats, eggs, and milk is evident (figure above). But the causes are more complicated than rising spending among low-income rural households. First, the shift to more expensive proteins is very unlikely to be from rising incomes in rural areas from income groups benefited by the MGNREGA. Incomes of average rural households in the bottom two deciles (MGNREGA target beneficiaries), for example, would have to jump to those of the rich farmer category, the sixth decile in rural areas, for a modest Rs. 100 monthly increase in per capita spending on protein-rich items by those households. The average (5th decile) urban household, by contrast, spends as much as seven times more than the bottom rural decile on protein-rich foods, and could achieve the same increase with a much more modest increase in incomes. Fast-growing urban consumers benefiting, for example, from the government's sixth pay commission pay hikes in 2008-9 and even larger private-sector salary hikes after a spectacular urban growth spurt during 2004-8, are a far more likely source of rising demand. Consider milk consumption. Monthly per capita liquid milk consumption in urban areas (from National Sample Survey [NSS] data) is far higher (5.4 litres) than in rural areas (4 litres); milk products (powder, solids, paneer, cheese, others) consumption is overwhelming and fastest growing (over 12 per cent per annum) in urban areas worldwide. Whereas, much of rural consumption is in own use, non-market forms that only affect market prices from a distance.

Second, we turn our attention to supply-demand imbalances. Milk happens to have the biggest weight (52 per cent) in consumption expenditures on protein-rich items in India and a closer look is useful. It turns out that inability to produce Milk is not necessarily the problem. India is the world's largest milk producer, milk production has been growing by over 4 per cent per annum, twice as fast as general agriculture and world production, and as rapidly as rising demand, raising per capita consumption successfully from 217 g to 263 g per day during 2000-10. Exports of milk products are also growing. Thanks to the 'white' revolution, the sector is relatively better organised, a success story worldwide, by helping smallholders into